

**HOUSE SUBSTITUTE FOR
SENATE BILL NO. 966**

A bill to amend 1966 PA 346, entitled
"State housing development authority act of 1966,"
by amending section 22 (MCL 125.1422), as amended by 2012 PA 327,
and by adding section 22e.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 22. The authority possesses all powers necessary or
2 convenient to carry out this act, including the following powers in
3 addition to other powers granted by other provisions of this act:

4 (a) To sue and to be sued; to have a seal and to alter the
5 seal at pleasure; to have perpetual succession; to make and execute
6 contracts and other instruments necessary or convenient to the
7 exercise of the powers of the authority; and to make, amend, and
8 repeal bylaws and rules.



1 (b) To undertake and carry out studies and analyses of housing
2 needs within this state and ways of meeting those needs, including
3 data with respect to population and family groups, the distribution
4 of population and family groups according to income, and the amount
5 and quality of available housing and its distribution according to
6 rentals and sales prices, employment, wages, and other factors
7 affecting housing needs and the meeting of housing needs; to make
8 the results of those studies and analyses available to the public
9 and the housing and supply industries; and to engage in research
10 and disseminate information on housing.

11 (c) To agree and comply with conditions attached to federal
12 financial assistance.

13 (d) To survey and investigate housing conditions and needs,
14 both urban and rural, throughout this state and make
15 recommendations to the governor and the legislature regarding
16 legislation and other measures necessary or advisable to alleviate
17 any existing housing shortage in this state.

18 (e) To establish and collect fees and charges in connection
19 with the sale of the authority's publications and the authority's
20 loans, commitments, and ~~servicing,~~ **services**, including, but not
21 limited to, the reimbursement of costs of financing by the
22 authority, service charges, and insurance premiums as the authority
23 determines to be reasonable and as approved by the authority. Fees
24 and charges ~~shall~~ **must** be determined by the authority and ~~shall~~ **are**
25 not ~~be~~ considered to be interest. The authority may use any
26 accumulated fees and charges and interest income for achieving any
27 of the corporate purposes of the authority, to the extent that the
28 fees, charges, and interest income are not pledged to the repayment
29 of bonds and notes of the authority or the interest on those bonds



1 and notes.

2 (f) To encourage community organizations to assist in
3 initiating housing projects as provided in this act.

4 (g) To encourage the salvage of all possible usable housing
5 scheduled for demolition because of highway, school, urban renewal,
6 or other programs by seeking authority for the sponsors of the
7 programs to use funds provided for the demolition of the buildings,
8 to be allocated to those sponsors approved by the authority to
9 defray moving and rehabilitation costs of the buildings.

10 (h) To engage and encourage research in, and to formulate
11 demonstration projects to develop, new and better techniques and
12 methods for increasing the supply of housing for persons eligible
13 for assistance as provided in this act; and to provide technical
14 assistance in the development of housing projects and in the
15 development of programs to improve the quality of life for all the
16 people of this state.

17 (i) To make or purchase loans, including loans for condominium
18 units as **that term is** defined in section 4 of the condominium act,
19 1978 PA 59, MCL 559.104, and ~~including~~ loans to mortgage lenders ~~and~~
20 ~~which~~ **that** are unsecured or the repayments of which are secured by
21 mortgages, security interests, or other forms of security; to
22 purchase and enter into commitments for the purchase of securities,
23 certificates of deposits, time deposits, or mortgage loans from
24 mortgage lenders; to participate in the making or purchasing of
25 unsecured or secured loans and undertake commitments to make,
26 **guarantee**, or purchase unsecured or secured loans; to sell
27 mortgages, security interests, notes, and other instruments or
28 obligations evidencing or securing loans, including certificates
29 evidencing interests in 1 or more loans, at public or private sale;



1 in connection with the sale of an instrument or obligation
2 evidencing or securing 1 or more loans, to service, guarantee
3 payment on, or repurchase the instrument or obligation, whether or
4 not it is in default; to modify or alter mortgages and security
5 interests; to foreclose on any mortgage, security interest, or
6 other form of security; to finance housing units; to commence an
7 action to protect or enforce a right conferred upon the authority
8 by law, mortgage, security agreement, contract, or other agreement;
9 to bid for and purchase property that was the subject of the
10 mortgage, security interest, or other form of security, at a
11 foreclosure or at any other sale, and to acquire or take possession
12 of the property. Upon acquiring or taking possession of the
13 property, the authority may complete, administer, and pay the
14 principal and interest of obligations incurred in connection with
15 the property, and may dispose of and otherwise deal with the
16 property in any manner necessary or desirable to protect the
17 interests of the authority in the property. If the authority or an
18 entity that provides mortgage insurance to the authority acquires
19 property ~~upon~~**on** the default of a borrower, the authority may make
20 a mortgage loan to a subsequent purchaser of that property even if
21 the purchaser does not meet otherwise applicable income limitations
22 and purchase price limits.

23 (j) To set standards for housing projects that receive loans
24 under this act and to provide for inspections to determine
25 compliance with those standards. The standards for construction and
26 rehabilitation of mobile homes, mobile home parks, and mobile home
27 condominium projects shall be established jointly by the authority
28 and the mobile home commission, created in section 3 of the mobile
29 home commission act, 1987 PA 96, MCL 125.2303. However, financing



standards shall be established solely by the authority.

(k) To accept gifts, grants, loans, appropriations, or other aid from the federal, state, or local government, from a subdivision, agency, or instrumentality of a federal, state, or local government, or from a person, corporation, firm, or other organization.

(l) To acquire or contract to acquire from a person, firm, corporation, municipality, or federal or state agency, by grant, purchase, or otherwise, leaseholds or real or personal property, or any interest in a leasehold or real or personal property; to own, hold, clear, improve, and rehabilitate and to sell, assign, exchange, transfer, convey, lease, mortgage, or otherwise dispose of or encumber any interest in a leasehold or real or personal property. This act shall not impede the operation and effect of local zoning, building, and housing ordinances, ordinances relating to subdivision control, land development, or fire prevention, or other ordinances having to do with housing or the development of housing.

(m) To procure insurance against any loss in connection with the property and other assets of the authority.

(n) To invest, at the discretion of the authority, funds held in reserve or sinking funds, or money not required for immediate use or disbursement, in obligations of this state or of the United States, in obligations the principal and interest of which are guaranteed by this state or the United States, or in other obligations as may be approved by the state treasurer.

(o) To promulgate rules necessary to carry out the purposes of this act and to exercise the powers expressly granted in this act ~~pursuant to~~ **under** the administrative procedures act of 1969, 1969



1 PA 306, MCL 24.201 to 24.328.

2 (p) To enter into agreements with nonprofit housing
3 corporations, consumer housing cooperatives, limited dividend
4 housing corporations, mobile home park corporations, and mobile
5 home park associations that provide for regulation by the authority
6 of the planning, development, and management of any housing project
7 undertaken by nonprofit housing corporations, consumer housing
8 cooperatives, limited dividend housing corporations, mobile home
9 park corporations, and mobile home park associations and that
10 provide for the disposition of the property and franchises of those
11 corporations, cooperatives, and associations.

12 (q) To appoint to the board of directors of a nonprofit
13 housing corporation, consumer housing cooperative, limited dividend
14 housing corporation, mobile home park corporation, or mobile home
15 park association, a number of new directors sufficient to
16 constitute a majority of the board notwithstanding other provisions
17 of the articles of incorporation or other provisions of law.
18 Directors appointed under this subsection need not be stockholders
19 or members or meet other qualifications that may be described by
20 the certificate of incorporation or bylaws. In the absence of fraud
21 or bad faith, directors appointed under this subsection shall not
22 be personally liable for debts, obligations, or liabilities of the
23 corporation or association. The authority may appoint directors
24 under this subsection only if 1 or more of the following occur:

25 (i) The nonprofit housing corporation, consumer housing
26 cooperative, limited dividend housing corporation, mobile home park
27 corporation, or mobile home park association has received a loan or
28 advance, as provided for in this act, and the authority determines
29 that the loan or advance is in jeopardy of not being repaid.



(ii) The nonprofit housing corporation, consumer housing cooperative, limited dividend housing corporation, mobile home park corporation, or mobile home park association received a loan or advance as provided for in this act and the authority determines that the proposed housing project for which the loan or advance was made is in jeopardy of not being constructed.

(iii) The authority determines that ~~some~~ **any of the following apply:**

(A) **Some** part of the net income or net earnings of the nonprofit housing corporation is inuring to the benefit of a private individual, firm, corporation, partnership, or association. ~~; the authority determines that an~~

(B) **An** unreasonable part of the net income or net earnings of the consumer housing cooperative is inuring to the benefit of a private individual, firm, corporation, partnership, or association. ~~; or the authority determines that some~~

(C) **Some** part of the net income or net earnings of the limited dividend housing corporation, in excess of that permitted by other provisions of this act, is inuring to the benefit of a private individual, firm, corporation, partnership, or association.

(iv) The authority determines that the nonprofit corporation or consumer housing cooperative is in some manner controlled by, under the direction of, or acting in the substantial interest of a private individual, firm, corporation, partnership, or association seeking to derive benefit or gain from, or seeking to eliminate or minimize losses in any dealings or transactions with, the nonprofit corporation or consumer housing cooperative. ~~However, this~~ **This** subparagraph ~~shall apply~~ **applies** to individual cooperators in consumer housing cooperatives only in circumstances defined by the



1 authority in its rules.

2 (v) The authority determines that the nonprofit housing
3 corporation, consumer housing cooperative, limited dividend housing
4 corporation, mobile home park corporation, or mobile home park
5 association is in violation of the rules promulgated under this
6 section.

7 (vi) The authority determines that the nonprofit housing
8 corporation, consumer housing cooperative, limited dividend housing
9 corporation, mobile home park corporation, or mobile home park
10 association is in violation of 1 or more agreements entered into
11 with the authority that provide for regulation by the authority of
12 the planning, development, and management of a housing project
13 undertaken by the nonprofit housing corporation, consumer housing
14 cooperative, limited dividend housing corporation, mobile home park
15 corporation, or mobile home park association or that provide for
16 the disposition of the property and franchises of the corporation,
17 cooperative, or association.

18 (r) To ~~give approval~~ **approve** or consent to ~~the~~ **any of the**
19 **following:**

20 (i) **The** articles of incorporation submitted to the authority by
21 a corporation seeking approval as a nonprofit housing corporation,
22 consumer housing cooperative, limited dividend housing corporation,
23 or mobile home park corporation under chapter 4, 5, 6, or 8. ~~to~~
24 ~~give approval or consent to the~~

25 (ii) **The** partnership agreement, joint venture agreement, trust
26 agreement, or other document of basic organization of a limited
27 dividend housing association under chapter 7 or mobile home park
28 association under chapter 9.

29 (s) To engage the services of private consultants on a



1 contract basis for rendering professional and technical assistance
2 and advice.

3 (t) To lease real or personal property, **to operate as the sole**
4 **statewide public housing agency**, and to accept federal funds for,
5 and participate in, federal programs of housing assistance. **As used**
6 **in this subdivision, "public housing agency" means that term as**
7 **defined under 42 USC 1437a.**

8 (u) To review and approve rental charges for authority-
9 financed housing projects and require whatever changes the
10 authority determines to be necessary. The changes ~~shall become~~ **are**
11 effective ~~after~~ not less than 30 ~~days'~~ **days after** written notice is
12 given to the residents of the affected authority-financed housing
13 projects.

14 (v) To set forth in the various loan documents of the
15 authority those restrictions on the sale, conveyance by land
16 contract, or transfer of residential real property, housing
17 projects, or housing units for which a note is held by the
18 authority and restrictions on the assumption by subsequent
19 purchasers of loans originated by and held by, or originated for
20 purchase by and held by, the authority as the authority determines
21 to be necessary in order to comply with requirements of federal
22 statutes, federal rules or regulations promulgated under 5 USC 551
23 to 559, state statutes, or state rules promulgated under the
24 administrative procedures act of 1969, 1969 PA 306, MCL 24.201 to
25 24.328, or to obtain and maintain the tax exempt status of
26 authority bonds and notes. ~~However, the~~ **The** authority shall not use
27 a due on sale or acceleration clause solely for the purpose of
28 renegotiating the interest rate on a loan made with respect to an
29 owner-occupied single-family housing unit. Without limiting the



1 authority's power to establish other restrictions, as provided in
 2 this section, on the sale, conveyance by land contract, or transfer
 3 of residential real property, housing projects, or housing units
 4 for which a note is held by the authority and the assumption by
 5 subsequent purchasers of loans made or purchased by the authority,
 6 the authority shall provide in its loan documents relating to a
 7 single family loan that the single family loan may be assumed by a
 8 new purchaser only when the new purchaser qualifies under the
 9 authority income limitations rules, unless such a restriction
 10 diminishes or precludes the insurance or a guarantee by an agency
 11 of the federal government with respect to the single family loan. A
 12 loan made for a mobile home that the borrower does not intend to
 13 permanently affix to real property shall become immediately due and
 14 payable if the mobile home is moved out of the state. Any
 15 restrictions on conveyance by sale, conveyance by land contract, or
 16 transfer that are authorized in this section ~~shall~~ apply only to
 17 loans originated by and held by, or originated for purchase by and
 18 held by, the authority and may, at the option of the authority, be
 19 enforced by accelerating and declaring immediately due and payable
 20 all sums evidenced by the note held by the authority. An
 21 acceleration and declaration of all sums to be due and payable on
 22 conveyance by sale, land contract, or transfer is not an
 23 unreasonable restraint on alienation. An acceleration and
 24 declaration, unless otherwise prohibited in this subdivision, of
 25 all sums to be due and payable under this subdivision is
 26 enforceable in any court of competent jurisdiction. This
 27 subdivision ~~is applicable~~ **applies** to secured and unsecured loans ~~-~~
 28 ~~This subdivision is also applicable to~~ **and** loan documents utilized
 29 in conjunction with an authority-operated program of residential



1 rehabilitation by an entity cooperating or participating with the
2 authority under section 22a(4), if the loans are originated with
3 the intent to sell those loans to the authority.

4 (w) To set forth in the various loan documents of the
5 authority remedies for the making of a false statement,
6 representation, or pretense or a material misstatement by a
7 borrower during the loan application process. Without limiting the
8 authority's power to pursue other remedies, the authority shall
9 provide in its loan documents that, if a borrower makes a false
10 statement, representation, or pretense or a material misstatement
11 during the loan application process, the authority, at its option,
12 may accelerate and declare immediately due and payable all sums
13 evidenced by the note held by the authority. An acceleration and
14 declaration of all sums to be due and payable as provided in this
15 subdivision is enforceable in any court of competent jurisdiction.
16 This subdivision ~~is applicable~~ **applies** to secured and unsecured
17 loans.

18 (x) To collect interest on a real estate loan, the primary
19 security for which is not a first lien on real estate, at the rate
20 of 15% or less per annum on the unpaid balance. This subdivision
21 does not impair the validity of a transaction or rate of interest
22 that is lawful ~~without regard to~~ **notwithstanding** this subdivision.

23 (y) To encourage and engage or participate in programs to
24 accomplish the preservation of housing in this state available for
25 occupancy by persons and families of low or moderate income.

26 (z) To verify for the state treasurer statements submitted by
27 a city, village, township, or county as to exempt properties under
28 section 7d of the general property tax act, 1893 PA 206, MCL
29 211.7d.



1 (aa) For the purpose of more effectively managing its debt
2 service, to enter into an interest rate exchange or swap, hedge, or
3 similar agreement with respect to its bonds or notes on the terms
4 and payable from the sources and with the security, if any, as
5 determined by a resolution of the authority.

6 (bb) To make working capital loans to contractors or
7 subcontractors on housing projects financed by the authority. The
8 authority shall submit an annual report to the legislature
9 containing the amount, recipient, duration, circumstance, and other
10 related statistics for each capital loan made to a contractor or
11 subcontractor under this subdivision. The authority shall include
12 in the report statistics related to the cost of improvements made
13 to adapt property for use by disabled individuals as provided in
14 section 32b or 44.

15 (cc) Subject to rules of the civil service commission, to
16 adopt a code of ethics with respect to its employees that requires
17 disclosure of financial interests, defines and precludes conflicts
18 of interest, and establishes reasonable post-employment
19 restrictions for a period of up to 1 year after an employee
20 terminates employment with the authority.

21 (dd) To impose covenants running with the land in order to
22 satisfy requirements of applicable federal law with respect to
23 housing assisted or to be assisted through federal programs such as
24 the low income housing tax credit program or the home investment
25 partnerships program. These covenants shall be imposed by executing
26 and recording regulatory agreements between the authority, or a
27 municipality or other entity designated by the authority, and the
28 person or entity to be bound. The covenants shall run with the land
29 and be effective with respect to the parties making the covenants



1 and other intended beneficiaries of the covenants, even though
2 there is no privity of estate or privity of contract between the
3 authority and the persons or entities to be bound.

4 (ee) To impose covenants running with the land in order to
5 satisfy requirements of applicable state or federal law with
6 respect to housing financed by the authority. These covenants shall
7 be imposed by executing and recording regulatory agreements between
8 the authority and the person or entity to be bound. The covenants
9 shall run with the land and be effective with respect to the
10 parties making the covenants and other intended beneficiaries of
11 the covenants, even though there is no privity of estate or privity
12 of contract between the authority and the persons or entities to be
13 bound. With respect to any applicable environmental laws, this
14 subdivision does not grant to the authority any additional rights,
15 privileges, or immunities not otherwise afforded to a private
16 lender that is not in the chain of title for the land.

17 (ff) To participate in programs designed to assist persons and
18 families whose incomes do not exceed 115% of the greater of
19 statewide median gross income or the area median gross income
20 become homeowners where loans are made by private lenders for
21 purchase by the government national mortgage association, federal
22 national mortgage association, federal home loan mortgage
23 corporation, or other federally chartered organizations.
24 Participation may include providing or funding homeownership
25 counseling and providing some or all of a reserve fund to be used
26 to pay for losses in excess of insurance coverage.

27 (gg) To invest, under the conditions prescribed in this
28 subdivision and without the consent of the escrow depositors, up to
29 20% of funds held, by or for the authority, in escrow accounts for



1 the benefit of the authority or mortgagors of authority-financed
2 housing. The investments under this subdivision shall be made in
3 loans originated or purchased by the authority for construction or
4 rehabilitation of multifamily housing developments for occupancy by
5 persons or families without regard to income. In connection with
6 loans described in this subdivision, the authority may charge and
7 retain fees in amounts similar to those charged with respect to
8 similar loans for which the source of funding does not come from
9 escrow accounts. For purposes of this subdivision, "escrow account"
10 means any account or reserve held by the authority and established
11 in a mortgage or a regulatory agreement to which the authority is a
12 party or which has been assigned to the authority. ~~However, for~~ **For**
13 purposes of this subdivision, escrow account does not include any
14 account labeled in the associated regulatory agreement as
15 "development cost escrow principal" or "operating assurance
16 reserve". For purposes of this subdivision, "multifamily housing
17 development" means a development in which not less than 50% of the
18 floor space is used primarily for residential purposes. The
19 investment authorized by this subdivision ~~shall~~ **must** not be made
20 unless both of the following requirements are met:

21 (i) The return on the loan is approximately equivalent to that
22 which could be obtained from investments of substantially similar
23 credit quality and maturity, as determined by the authority.

24 (ii) The authority agrees to pay with its own funds the
25 principal balance of any loan, made with the escrow funds, that
26 becomes delinquent in excess of 30 days. This subdivision does not
27 obligate the authority to purchase a delinquent loan so long as
28 with respect to that loan the authority pays to the escrow funds
29 from its own funds the amount of the delinquent payments. The



1 authority's election to pay the delinquent payments to the escrow
 2 funds does not in any manner abate or cure the delinquency of the
 3 loan and the authority may resort to any remedies that would exist
 4 in the absence of that payment.

5 (hh) To acquire, develop, rehabilitate, own, operate, and
 6 enter into contracts with respect to the management and operation
 7 of real and personal property to use as office facilities by the
 8 authority and to enter into leases with respect to facilities not
 9 immediately necessary for the activities of the authority.

10 (ii) To make loans to certain qualified buyers and resident
 11 organizations and to make grants to resident organizations as
 12 provided in the following:

13 (i) The urban homestead act, 1999 PA 127, MCL 125.2701 to
 14 125.2709.

15 (ii) The urban homesteading on vacant land act, 1999 PA 129,
 16 MCL 125.2741 to 125.2748.

17 (iii) The urban homesteading in single-family public housing
 18 act, 1999 PA 128, MCL 125.2761 to 125.2770.

19 (iv) The urban homesteading in multifamily public housing act,
 20 1999 PA 84, MCL 125.2721 to 125.2734.

21 (jj) To implement and administer a housing and community
 22 development program as described in this act.

23 (kk) To implement, administer, or execute administrative,
 24 substantive, or supervisory powers ~~pursuant to~~ **under** the individual
 25 or family development account program act, 2006 PA 513, MCL 206.901
 26 to 206.911.

27 **(ll) To establish, implement, and administer the housing**
 28 **opportunity tax credit program under section 22e.**

29 **Sec. 22e. (1) The authority, in cooperation with the**



1 department of treasury, shall establish, implement, and administer
2 a housing opportunity tax credit program to encourage the
3 development of qualified projects in this state.

4 (2) For award cycles beginning on and after January 1, 2027,
5 the authority shall, in conjunction with applications received
6 under section 22b, accept applications for housing opportunity tax
7 credits under this section. The authority shall not issue an award
8 for an annual housing opportunity tax credit under this program for
9 a qualified project that exceeds the lesser of the following:

10 (a) The amount necessary for the financial feasibility of the
11 qualified project.

12 (b) The adjusted annual federal credit amount for the
13 qualified project.

14 (3) A person seeking a housing opportunity tax credit under
15 this section shall submit an application in a form and manner as
16 prescribed by the authority. In a process determined by the
17 authority that considers the impact on total development costs, the
18 authority shall give preference to qualified projects that use
19 building components during construction or rehabilitation that are
20 manufactured in this state. The authority shall review completed
21 applications for housing opportunity tax credits received for 4%
22 qualified projects on a first-come, first-served basis. The
23 authority shall treat all complete applications received on the
24 same day as having been received simultaneously. If the
25 applications received for 4% qualified projects exceed the portion
26 of the award cycle cap set aside under subsection (4) (b) and (c) on
27 any day, the authority shall establish an evaluation methodology to
28 determine which of the 4% qualified projects applications are
29 approved and issued an approval notice for a housing opportunity



1 tax credit. Except as otherwise provided under this subsection, the
2 evaluation methodology required under this subsection must be
3 limited to factors that maximize efficient unit production,
4 including, but not limited to, each of the following:

5 (a) The amount of the housing opportunity tax credit requested
6 for each unit under the proposed qualified project.

7 (b) The number of units to be preserved or created under the
8 proposed qualified project.

9 (c) The estimated development period of the proposed qualified
10 project from the initial approval notice to placing the proposed
11 qualified project in service.

12 (4) For the 2027 award cycle, the authority shall not issue
13 approval notices for a total of more than the base annual amount of
14 \$42,000,000.00 for housing opportunity tax credits under this
15 section. For each award cycle after the 2027 award cycle, to
16 determine the award cycle cap for that award cycle, the base annual
17 amount for the immediately preceding award cycle must be adjusted
18 annually by the percentage increase in the United States Consumer
19 Price Index for the immediately preceding calendar year. The total
20 amount of all housing opportunity tax credits for which an approval
21 notice is issued under this section must not exceed the award cycle
22 cap for any award cycle. For each application window, the authority
23 shall approve and allot not less than 45% of the award cycle cap
24 set aside under subdivisions (b) and (c) to 4% qualified projects
25 to the extent that the authority receives a sufficient number of
26 applications. If, at the end of the final application window of
27 each award cycle, the authority has not received a sufficient
28 number of completed applications to allot the amount set aside
29 under subdivision (b) or (c), the authority may reapportion the



1 unallotted credit amounts to other qualified projects in accordance
2 with the qualified allocation plan or other alternative competitive
3 processes. Except as otherwise provided under this subsection, the
4 authority must set aside the following amounts of the award cycle
5 cap as follows:

6 (a) Up to 50% to any qualified project at the authority's
7 discretion.

8 (b) Not less than 25% shall be available during application
9 windows to 4% qualified projects that are new construction.

10 (c) Not less than 25% shall be available during application
11 windows to 4% qualified projects that are preservation.

12 (d) To the extent the authority receives a sufficient number
13 of completed applications for projects that are located in rural
14 areas, not less than 30% of the amounts set aside under
15 subdivisions (a) to (c) during each award cycle shall be designated
16 for qualified projects that are located in a rural area.

17 (5) If the authority approves an application for a housing
18 opportunity tax credit, the authority shall send an approval notice
19 to the applicant that states the amount of the housing opportunity
20 tax credit approved for each year of the qualified project's credit
21 period. The approval notice must clearly stipulate that the housing
22 opportunity tax credit approved is contingent on the authority's
23 approval of a final cost certification and the issuance of an
24 eligibility statement, and for the purposes of the housing
25 opportunity tax credit only, the exception under section
26 42(h)(6)(E)(i)(II) of the internal revenue code, 26 USC 42, does
27 not apply. The owner and the authority shall use a regulatory
28 agreement that gives preference to maximizing long-term
29 affordability. On completion of a qualified project, as determined



1 by the authority, the owner shall submit a final cost certification
2 and a request for the issuance of an eligibility statement to the
3 authority. On approval of the final cost certification, the
4 authority shall issue an eligibility statement to the owner for the
5 qualified project. The eligibility statement must state the amount
6 of the housing opportunity tax credit that may be claimed against
7 an applicable tax each year of the credit period. Except as
8 otherwise provided under section 281 or 678 of the income tax act
9 of 1967, 1967 PA 281, MCL 206.281 and 206.678, or under section
10 476a of the insurance code of 1956, 1956 PA 218, MCL 500.476a,
11 whichever is applicable, for each calendar year of the credit
12 period, an owner claiming a housing opportunity tax credit shall
13 claim the credit for that calendar year against an applicable tax
14 for the owner's tax year beginning with or within that calendar
15 year.

16 (6) If an owner that is a qualified taxpayer is a flow-through
17 entity, the owner may, in a form and manner as prescribed by the
18 authority, allocate all or a portion of the housing opportunity tax
19 credit attributable to a qualified project to some or all of its
20 members in any manner agreed to by its members, regardless of
21 whether that member is allocated or allowed any portion of any
22 federal low-income housing tax credit with respect to the same
23 qualified project, whether the allocation of the housing
24 opportunity tax credit under the terms of the agreement has
25 substantial economic effect within the meaning of section 704(b) of
26 the internal revenue code, 26 USC 704, and whether the member is
27 deemed a partner for federal income tax purposes. A flow-through
28 entity that receives an allocation of the housing opportunity tax
29 credit under this subsection, either from the owner of the

1 qualified project or from another flow-through entity, may further
2 allocate the housing opportunity tax credit among some or all of
3 its members in the same manner as the owner. A member of a flow-
4 through entity that is allocated or receives a pass-through of a
5 housing opportunity tax credit under this subsection may assign all
6 or any part of its interest in the flow-through entity and the
7 assignee may subsequently be allocated credits from the flow-
8 through entity. Except as otherwise provided under section 281 or
9 678 of the income tax act of 1967, 1967 PA 281, MCL 206.281 and
10 206.678, or under section 476a of the insurance code of 1956, 1956
11 PA 218, MCL 500.476a, whichever is applicable, a qualified taxpayer
12 that has been allocated all or a portion of a housing opportunity
13 tax credit under this subsection shall claim that credit against an
14 applicable tax for the qualified taxpayer's tax year beginning with
15 or within the calendar year in which the allocation was made. Any
16 flow-through entity allocating all or a portion of a housing
17 opportunity tax credit for a qualified project under this
18 subsection shall provide the recipient with a copy of the
19 eligibility statement or, if the authority has not yet issued an
20 eligibility statement, the approval notice for that qualified
21 project. If a copy of the approval notice is provided to the
22 recipient and an eligibility statement is subsequently issued, the
23 person who allocated the credit shall provide the recipient with a
24 copy of the eligibility statement.

25 (7) The owner of a qualified project that is awarded a housing
26 opportunity tax credit shall report any recapture event described
27 in section 281(3) or 678(3) of the income tax act of 1967, 1967 PA
28 281, MCL 206.281 and 206.678, or section 476a(10) of the insurance
29 code of 1956, 1956 PA 218, MCL 500.476a, to the designated



1 reporter, the department of treasury, and the authority in the same
2 manner as required for the recapture of federal low-income housing
3 tax credits. If the owner of the qualified project is not the only
4 qualified taxpayer that claimed the housing opportunity tax credit
5 attributable to that qualified project against an applicable tax,
6 the designated reporter shall also report the recapture event to
7 each qualified taxpayer that was allocated a housing opportunity
8 tax credit attributable to that same qualified project.

9 (8) A designated reporter shall do both of the following:

10 (a) For each calendar year, provide the department of
11 treasury, in the form prescribed by the department of treasury, an
12 allocation report for the qualified project containing all of the
13 following information:

14 (i) The name, address, and taxpayer identification number of
15 the owner and each qualified taxpayer that has been allocated all
16 or a portion of the annual credit listed on the eligibility
17 statement or approval notice, whichever is applicable, for that
18 year.

19 (ii) The amount of the annual credit retained by or allocated
20 to each person listed under subparagraph (i) for that year and the
21 person's tax year under the applicable tax.

22 (iii) The total of the amounts listed for each person under
23 subparagraph (ii), demonstrating that the total does not exceed the
24 amount listed on the eligibility statement or approval notice,
25 whichever is applicable, for that year.

26 (iv) Any other information required by the department of
27 treasury.

28 (b) If any of the information reported under subdivision (a)
29 changes after the designated reporter has provided the allocation



1 report to the department of treasury, including, but not limited
2 to, changes resulting from a reduction or increase in the amount of
3 the annual credit approved in the approval notice, provide the
4 department of treasury and any affected qualified taxpayer an
5 updated allocation report for the calendar year in the time and
6 manner as prescribed by the department of treasury.

7 (9) As used in this section:

8 (a) "Adjusted annual federal credit amount" means 1/6 of the
9 aggregate amount of the federal credit allocated to a qualified
10 project on federal income tax form 8609 over its federal credit
11 period.

12 (b) "Allocation report" means the annual report submitted by a
13 designated reporter to the department of treasury under subsection
14 (8).

15 (c) "Applicable tax" means a tax imposed under the income tax
16 act of 1967, 1967 PA 281, MCL 206.1 to 206.847, or under section
17 476a of the insurance code of 1956, 1956 PA 218, MCL 500.476a.

18 (d) "Application window" means the first quarter, January 1
19 through March 31, or the third quarter, July 1 through September
20 30, of the award cycle. If either the first or last day of the
21 application window falls on a nonbusiness day, then the starting or
22 ending date is the next business day.

23 (e) "Approval notice" means a binding reservation letter
24 issued by the authority for a housing opportunity tax credit
25 attributable to a qualified project during an award cycle, setting
26 forth the amount of the housing opportunity tax credit to be
27 claimed in each year of the credit period.

28 (f) "Award" or "awarded" means the issuance or receipt of an
29 eligibility statement under subsection (5) for a qualified project.



1 (g) "Award cycle" means each calendar year for which the
2 authority approves and issues approval notices for housing
3 opportunity tax credits for qualified projects.

4 (h) "Award cycle cap" means the sum of the following:

5 (i) The base annual amount as determined under subsection (4)
6 for each calendar year of the credit period.

7 (ii) The amount, if any, by which the award cycle cap
8 prescribed under this section for the preceding award cycle exceeds
9 the total of all housing opportunity tax credits approved by the
10 authority in that award cycle.

11 (iii) The amount of housing opportunity tax credits recaptured
12 or otherwise disallowed under subsection (7) in the preceding
13 calendar year or otherwise returned to the authority since the
14 prior award cycle.

15 (i) "Credit period" means the period of 6 calendar years
16 beginning with the calendar year in which a building that is part
17 of a qualified project is placed in service. If a qualified project
18 consists of more than 1 building, then the owner may elect to
19 either treat all buildings as 1 project and begin the credit period
20 when the last building is placed in service or treat each
21 building's credit period independently on a building-by-building
22 basis. For purposes of the housing opportunity tax credit under
23 this section, the special rule for the first year of the credit
24 period under section 42(f)(2) of the internal revenue code does not
25 apply.

26 (j) "Designated reporter" means the owner of the qualified
27 project or a person designated by the owner to prepare the
28 allocation report for the qualified project.

29 (k) "Eligibility statement" means a statement issued by the



1 authority to the owner of a qualified project certifying that the
 2 project is a qualified project and specifying the amount of the
 3 housing opportunity tax credit that may be claimed each year of the
 4 credit period, the years that comprise the credit period, the name,
 5 address, and taxpayer identification number of the owner, the date
 6 of issuance, and any additional information prescribed by the
 7 authority.

8 (l) "Federal credit period" means the 10-year period described
 9 under section 42(f)(1) of the internal revenue code, 26 USC 42.

10 (m) "Federal low-income housing tax credit" or "federal
 11 credit" means the credit allowed under section 42 of the internal
 12 revenue code, 26 USC 42.

13 (n) "Flow-through entity" means an entity that for the
 14 relevant tax year is treated as a subchapter S corporation under
 15 section 1362(a) of the internal revenue code, 26 USC 1362, a
 16 general partnership, a trust, a limited partnership, a limited
 17 liability partnership, or a limited liability company, and that for
 18 the tax year is not taxed as a corporation for federal income tax
 19 purposes. Flow-through entity does not include any entity treated
 20 as a corporation under section 699 of the income tax act of 1967,
 21 1967 PA 281, MCL 206.699.

22 (o) "4% qualified project" means a qualified project that is
 23 eligible for both of the following:

24 (i) A federal low-income housing tax credit under section
 25 42(h)(4) of the internal revenue code, 26 USC 42.

26 (ii) A bond issued under section 44c in which the authority is
 27 not the bondholder with respect to the bond proceeds.

28 (p) "Housing opportunity tax credit" means a tax credit
 29 authorized to be claimed against an applicable tax.



1 (q) "Internal revenue code" means the United States internal
2 revenue code of 1986, 26 USC 1 to 9834.

3 (r) "Manufactured in this state" means the following:

4 (i) For iron or steel products, all manufacturing processes,
5 from the initial melting stage through the application of coatings,
6 occurred in this state.

7 (ii) For manufactured products, the final point of manufacture
8 for the finished product is a facility physically located within
9 the borders of this state, regardless of the origin of the
10 subcomponents or raw materials used in the assembly or production
11 of said product.

12 (iii) For construction materials, all manufacturing processes
13 for the construction material occurred in this state.

14 (s) "Member", when used in reference to a flow-through entity,
15 means a shareholder of a subchapter S corporation, a partner in a
16 general partnership, a limited partnership, or a limited liability
17 partnership, a member of a limited liability company, or a
18 beneficiary of a trust that is a flow-through entity, as long as
19 the shareholder, partner, member, or beneficiary, as applicable, is
20 considered a shareholder, partner, member, or beneficiary under
21 applicable state law governing such flow-through entity.

22 (t) "New construction" means newly constructed housing units
23 and does not include the rehabilitation or acquisition of existing
24 buildings or adaptive reuse projects. New construction includes the
25 demolition necessary for the construction of new housing units.

26 (u) "Owner" means a person holding a fee simple interest in a
27 qualified project or a leasehold interest pursuant to a ground
28 lease in the land on which a qualified project is located.

29 (v) "Person" means an individual, bank, financial institution,



1 insurance company, association, corporation, flow-through entity,
 2 receiver, estate, trust, or any other group or combination of
 3 groups acting as a unit.

4 (w) "Preservation" means projects that involve rehabilitation
 5 of existing housing units or the adaptive re-use of an existing
 6 building.

7 (x) "Qualified project" means a qualified low-income building
 8 as defined in section 42(c) of the internal revenue code, 26 USC
 9 42, that is located in this state, is eligible for the federal low-
 10 income housing tax credit, and is placed in service on or after
 11 January 1, 2027.

12 (y) "Qualified taxpayer" means that term as defined in section
 13 281 or 678 of the income tax act of 1967, 1967 PA 281, MCL 206.281
 14 and 206.678, or in section 476a of the insurance code of 1956, 1956
 15 PA 218, MCL 500.476a, as applicable.

16 (z) "Rural area" means a city, village, or township with a
 17 population of 35,000 or less, or an area designated as rural as
 18 defined by the United States Department of Agriculture or the
 19 United States Census Bureau.

20 (aa) "Taxpayer" means a person subject to an applicable tax.

21 (bb) "United States Consumer Price Index" means the United
 22 States Consumer Price Index for all urban consumers as defined and
 23 reported by the United States Department of Labor, Bureau of Labor
 24 Statistics.

25 Enacting section 1. This amendatory act does not take effect
 26 unless all of the following bills of the 103rd Legislature are
 27 enacted into law:

28 (a) House Bill No. 5806.

29 (b) House Bill No. 5807.

